

World War II boom, the inflationary malaise of the 1970s, or even the roaring 1980s–90s. Each of these three can be defined as a secular cycle.

With each secular period, a dominant market trend emerges. Historically, these trends have been extremely powerful and, once established, are very difficult to break. They can last 10 to 20 years.

As an example, let's use the post-World War II boom. This long expansion lasted from 1946 to 1966 (with a few mild recessions along the way). The economy was driven by a broad assortment of factors that all aligned at once: 12 million troops (nearly 10% of the US population in 1945) returned home from the war and about two-thirds of them took advantage of the GI Bill, which provided a \$110 per month stipend (that's \$1,937 per month in today's dollars) to obtain a college education.

A well-educated workforce *always* powers the economy higher.

After being on a wartime footing for so long, civilian manufacturing responded to years of pent-up consumer demand. Commercial aviation expanded dramatically, and soon became an ordinary part of life. The electronics industry also grew rapidly; the seeds for the semiconductor and software revolution were planted. The post-war period also saw the suburbanization of America, the rise of the homeowner, the build-out of the interstate highway system, the rise of automobile culture, as credit availability expanded dramatically.

The top dozen factors all drove a broad economic expansion that was the envy of the world, helping to turn the US into an economic superpower. It's no surprise that the stock market had a fantastic run from 1946 to 1966. The long economic boom led to a long market rally. During that period, the secular bull produced outstanding returns. The DJIA was well under 200 in 1946. By 1963, it was trading five times higher at a level of 1,000.

Of course, there is always a flip side: That post-war expansion was followed by another secular cycle—the ugly secular bear market of 1966–1982.